



Quarterly Statement

Investor Report Q3 2023

FUND OVERVIEW

Alkhabeer Diversified Income Traded Fund (“the Fund”) is a closed-ended Shari’a-compliant investment traded fund established in accordance with the applicable laws and regulations of the Kingdom of Saudi Arabia and regulated by the Capital Market Authority (CMA). The Fund’s investment objective is to generate periodic income to investors by investing in Shari’a-compliant income generating assets. The Fund Manager “Alkhabeer Capital” plans to invest in Sukuk, trade finance transactions, leasing transactions, income funds and Murabaha transactions, either directly or through investment funds.

KEY FUND FACTS

TADAWUL SYMBOL 4700	BLOOMBERG SYMBOL AKDICIF:AB
FUND TYPE Closed-ended Traded Fund	LISTING DATE 19 January 2021
FUND TERM 99 years, starting as from the Listing Date, renewable	NET ASSET VALUE PER UNIT SAR 9.7595
FUND ASSETS SIZE* SAR 95,804,675	FUND’S TOTAL CAPITAL AS AT THE LISTING DATE SAR 472,814,700
FINANCING AMOUNT* SAR 31,297,923	RATIO OF LOANS TO FUND’S TOTAL ASSET VALUE* 6.31%
RATIO OF LOANS TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER 6.78%	RATIO OF LOANS TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER 0.00%
RATIO OF FUND MANAGER’S INVESTMENT TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER 0.00%	RISK LEVEL High
FUND CURRENCY Saudi Arabian Riyal (SAR)	INVESTMENT ADVISOR AND FUND SUB-MANAGER N/A

RATIO OF UNDERLYING FUNDS' MANAGEMENT FEES
0.36%

NUMBER OF DAYS WEIGHTED AVERAGE
92 Days

* As of 30 September 2023 (Unaudited).

FUND PORTFOLIO INVESTMENT CONCENTRATION RATIOS *

FUND PORTFOLIO INVESTMENT CONCENTRATION RATIOS *



The average term of Fund investments are 3.6 years.

FINANCIAL INDICATORS*

VALUATION FREQUENCY

Quarterly

FUND'S TOTAL ASSET VALUE*

SAR 495,804,675

FUND UNITS' NET ASSET VALUE*

SAR 461,445,661

AMOUNT OF DEALING EXPENSES FOR THE REPORTING QUARTER TO FUND'S AVERAGE NET ASSET VALUE

N/A

RATIO OF DEALING EXPENSES FOR THE REPORTING QUARTER TO FUND'S AVERAGE NET ASSET VALUE

0.00%

RATIO OF TRANSACTION EXPENSES FOR THE REPORTING QUARTER TO FUND'S AVERAGE NET ASSET VALUE

0.00%

RATIO OF FUND'S EXPENSES AND FEES TO FUND'S TOTAL ASSET VALUE** RATIO OF FUND'S TOTAL COSTS TO FUND'S TOTAL ASSET VALUE***

0.85%

0.99%

RATIO OF FUND'S TOTAL COSTS TO FUND'S AVERAGE NET ASSET VALUE****

1.05%

FUND'S TOTAL COSTS FOR THE REPORTING QUARTER

SAR 4,885,658

* As of 30 September 2023 (Unaudited).

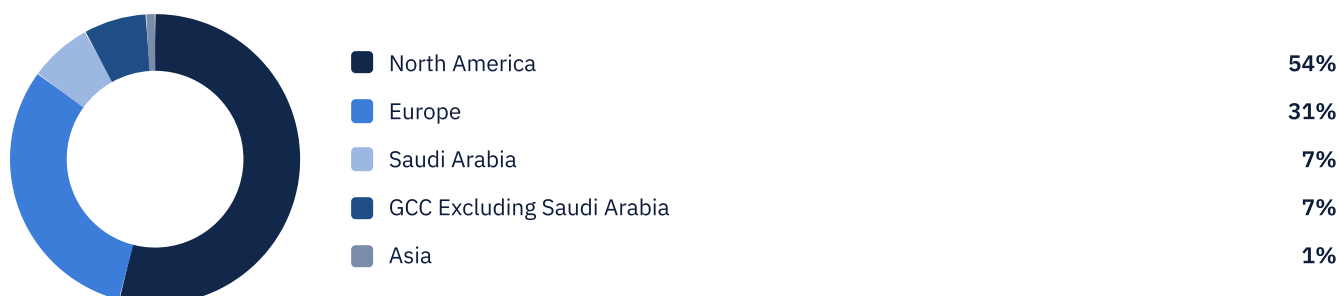
** Fund expenses and fees are all Fund expenses during the reporting quarter, excluding financing costs.

*** Fund total costs are all Fund fees and expenses, including financing costs.

**** Fund average NAV for the reporting period = SAR 465,927,902

DISTRIBUTION OF INVESTMENTS BY GEOGRAPHY

DISTRIBUTION OF INVESTMENTS BY GEOGRAPHY



FUND ASSETS INFORMATION

TRADE FINANCE PORTFOLIO TOTAL VALUE

SAR 104,106,379

LEASING PORTFOLIO TOTAL VALUE

SAR 170,924,164

SUKUK PORTFOLIO TOTAL VALUE

SAR 29,891,303

INCOME FUNDS PORTFOLIO TOTAL VALUE

SAR 123,872,809

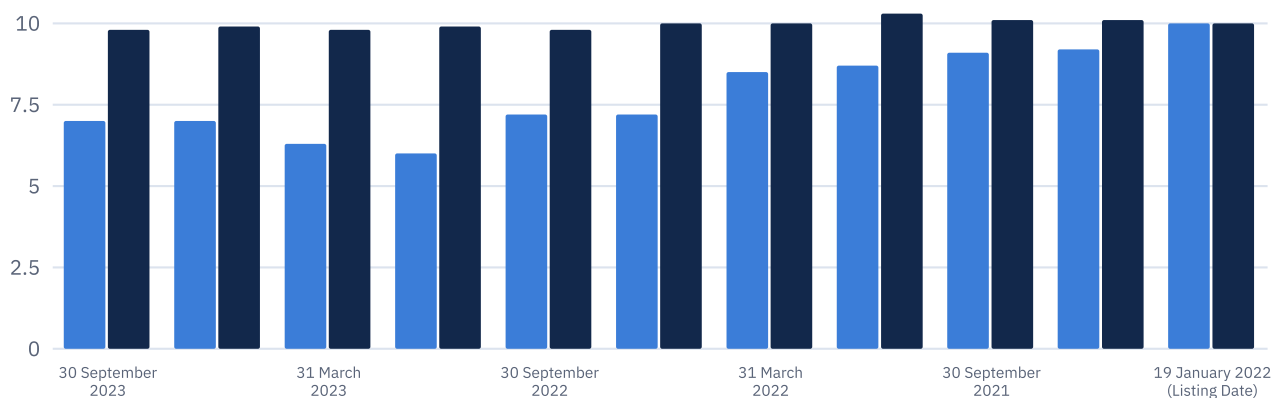
TOTAL CASH AND CASH EQUIVALENT

SAR 67,010,020

NET ASSET VALUE AND UNIT PRICE PERFORMANCE*

NET ASSET VALUE AND UNIT PRICE PERFORMANCE*

 Market Unit Price (SAR)  NAV/Unit (SAR)



*Based on the Unit Price.

FUND MARKET VALUE INFORMATION*

AS AT THE LISTING DATE

SAR 472,814,700

AS AT 31 MARCH 2021

SAR 428,370,118

AS AT 30 JUNE 2021
SAR 433,098,265

AS AT 30 SEPTEMBER 2021
SAR 427,897,304

AS AT 31 DECEMBER 2021
SAR 409,930,345

AS AT 31 MARCH 2022
SAR 402,838,124

AS AT 30 JUNE 2022
SAR 342,317,843

AS AT 30 SEPTEMBER 2022
SAR 339,480,955

AS AT 31 DECEMBER 2022
SAR 281,324,747

AS AT 31 MARCH 2023
SAR 297,873,261

AS AT 30 JUNE 2023
SAR 329,079,031

AS AT 30 SEPTEMBER 2023
SAR 329,551,846

FUND UNITS INFORMATION

UNIT PRICE AS AT THE END OF Q3 (30 SEPTEMBER 2023)
SAR 6.97

CHANGE IN UNIT PRICE COMPARED TO THE PREVIOUS QUARTER (FROM 30 JUNE 2023 TO 30 SEPTEMBER 2023)*
0.14%

UNIT PRICE PERFORMANCE SINCE THE LISTING DATE (FROM THE LISTING DATE TO END Q2 2023)
-30.30%

52-WEEK HIGH
SAR 7.79

52-WEEK LOW
SAR 5.91

NUMBER OF OUTSTANDING UNITS
47,281,470 Units

* Unit Price as at 30 June 2023 = SAR 6.96.

DIVIDEND DISTRIBUTION

DIVIDEND DISTRIBUTION POLICY

The Fund Manager will distribute 100% of the semi-annual profits received from the returns on the Fund's investments after deducting the expenses from the Unitholders twice a year, provided distributions are made during the months of August and February annually.

TOTAL DIVIDENDS DISTRIBUTED IN THE REPORTING QUARTER*
SAR 0.00

TOTAL DIVIDENDS DISTRIBUTED FOR THE LAST SEMI-ANNUAL PERIOD**
SAR 13,238,812

DIVIDENDS DISTRIBUTED FOR THE LAST SEMI-ANNUAL PERIOD PER UNIT
SAR 0.28

RATIO OF DIVIDENDS DISTRIBUTED IN THE REPORTING QUARTER TO THE INITIAL UNIT PRICE
2.80%

DIVIDENDS DISTRIBUTED ON UNIT PRICE
4.02%

TOTAL INCOME FOR THE REPORTING QUARTER*
SAR 9,171,701

RATIO OF TOTAL INCOME FOR THE REPORTING QUARTER TO THE UNIT PRICE (30 SEPTEMBER 2023)
2.78%

* From 1 July 2023 to 30 September 2023.

** From 1 January to 30 June 2023

FUND PERFORMANCE CRITERIA AND INDICATORS

BENCHMARK	INITIAL UNIT PRICE (AT THE INITIAL OFFERING)
12 months Term SOFR + 300 bps*	SAR 10
UNIT PRICE PERFORMANCE SINCE THE PREVIOUS PERIOD**	UNIT PRICE PERFORMANCE SINCE THE DATE OF INCEPTION***
0.14%	-30.30%
TOTAL RETURN SINCE THE DATE OF INCEPTION****	
-17.63%	

* On 16 May 2023, the Fund has changed Its benchmark from the London Interbank Offered Rate (LIBOR) 12 months + 300 basis points to the Secured Overnight Financing Rate (Term SOFR) 12 months + 300 basis points.

** Unit Price as at 30 June 2023 = SAR 6.96.

*** From the Fund's Date of Inception to end Q3 2023.

**** Total Return = Unit Price Performance + Total Dividend Distributions (if any).

Note: It should be noted that the Unit Price on the Exchange may increase or decrease based on market factors.

DESCRIPTION OF THE FUND'S BENCHMARK

The Fund's Benchmark is 12 months Term SOFR plus 300 bps.

PERFORMANCE ASSESSMENT CRITERIA AND INDICATORS*

	ALKHABEER INCOME FUND	12M TERM SOFR + 300 BPS*
NET ASSET VALUE PER UNIT AS AT THE BEGINNING OF THE PERIOD**	9.9491	N/A
NET ASSET VALUE PER UNIT AS AT THE END OF THE PERIOD***	9.7595	N/A
UNIT PERFORMANCE	-1.91%	2.07%****

* On 16 May 2023, the Fund has changed Its benchmark from the London Interbank Offered Rate (LIBOR) 12 months + 300 basis points to the Secured Overnight Financing Rate (Term SOFR) 12 months + 300 basis points

** As at 30 June 2023.

***As at 30 September 2023.

**** Benchmark average return is 8.39% per annum, or a return of 2.07% for the reporting quarter.

OWNERSHIP OF FUND INVESTMENTS

OWNERSHIP	PERCENTAGE (%)
FREEHOLD	100%
LEASEHOLD	0%

RETURNS

ITEM	3 MONTHS*	ONE YEAR UP TO 30 JUNE 2023*	ONE YEAR***	3 YEARS	5 YEARS
TOTAL RETURN/NAV PER UNIT "FUND PERFORMANCE"	0.91%	3.83%	5.64%	N/A	N/A
BENCHMARK PERFORMANCE	2.07%	6.20%	8.44%	N/A	N/A
PERFORMANCE SPREAD	-1.16%	-2.37%	--2.81%	N/A	N/A

* For the period from 30 June 2023 to 30 September 2023, including cash distributions of 2.8%.

** For the period from 31 December 2022 to 30 September 2023, including cash distributions of 5.60%.

*** For the period from 30 September 2022 to 30 September 2023, including cash distributions of 5.60%.

PERFORMANCE AND RISKS

PERFORMANCE AND RISKS CRITERIA	3 MONTHS ¹	YEAR TO DATE ²	ONE YEAR ³	3 YEARS	5 YEARS
STANDARD DEVIATION ⁴	11.48	18.77	19.42	N/A	N/A
SHARPE RATIO ⁵	0.61	1.66	-0.09	N/A	N/A
TRACKING ERROR ⁶	11.47	18.78	19.46	N/A	N/A
BETA ⁷	0.16	-0.55	-0.18	N/A	N/A
ALPHA ⁸	3.27	23.27	-5.06	N/A	N/A
INFORMATION RATIO ⁹	0.29	1.24	-0.26	N/A	N/A

1. For the period from 30 June 2023 to 30 September 2023

2. For the period from 31 December 2022 to 30 September 2023

3. For the period from 30 September 2022 to 30 September 2023.

4. Standard Deviation is a measure of risk. It is calculated as any volatility in returns over a period of time. The lower the volatility, the more homogeneous the set of returns.

5. Sharpe Ratio is a risk-adjusted performance measure. It is calculated as the difference as the Fund Manager excess return over the risk-free rate, divided by the Standard Deviation. The greater a portfolio's Sharpe Ratio, the better its risk-adjusted performance.

6. Tracking Error is a measure of risks. It is calculated as the Standard Deviation between the Fund Manager's return and the Benchmark's return. The lower the Tracking Error, the lower the Fund Manager deviates from the Benchmark.

7. Beta is a measure of the average historical sensitivity of the Fund's returns compared to market returns. It is calculated by using the covariance of the Fund and the market on the variance of the market.

8. Alpha measures any excess return achieved by the Fund compared to the performance of the index.

9. Information Ratio is a risk-adjusted performance measure. It is calculated as the active return of the Fund Manager, divided by its tracking error. The higher the Information ratio, the higher the Fund Manager ability to generate excess returns per Unit of excess risk. Knowing that the performance and risk parameters were calculated based on the Unit's trading prices in the market.

FUND HIGHLIGHTS AND ANY FUNDAMENTAL OR NON-FUNDAMENTAL CHANGES AFFECTING THE PERFORMANCE OF THE FUND

There were no fundamental or non-fundamental developments or changes affecting the performance of the Fund.

OVERVIEW OF THE LEASING, TRADE FINANCE AND SUKUK INDUSTRIES

LEASING INDUSTRY OVERVIEW

- The US Fed has recently signaled to keep interest rates elevated for the time being, continuing with its campaign to control inflation. Despite the higher interest rate environment, many US businesses continue to invest in productive assets, suggesting healthy demand for equipment leasing finance.
- The Equipment Leasing and Finance Association's (ELFA) Monthly Leasing and Finance Index (MLFI-25), which reports economic activity from twenty-five companies representing a cross section of the USD 1 trillion equipment finance sector, showed their overall new business volume for August 2023 was USD 10.1 billion, up 14.0% YoY from new business volume in August 2022.

TRADE FINANCE INDUSTRY OVERVIEW

- According to United Nations Conference on Trade and Development (UNCTAD), the global trade reached a record USD 32 trillion in 2022 trade in goods was about USD 25 trillion (an increase of about 10 % from 2021) and trade in services totaled ~USD 7 trillion (an increase of ~15% YoY).
- The record levels are largely due to robust growth in the first half of 2022, however due to deteriorating economic conditions and rising uncertainties, growth turned negative in H2 2022 and is expected to stagnate in 2023.
- The global trade finance gap has widened to USD 2.5 trillion (per recent ADB survey of September 2023), registering a 47% increase from its previous survey which had estimated the 2020 trade finance gap at USD 1.7 trillion. The gap now represents about 10% of global merchandise trade.

SUKUK INDUSTRY OVERVIEW

- According to the Refinitiv, global Sukuk issuance exceeded market expectations reaching USD 193.9 billion in 2022 despite a record number of consecutive rate hikes during 2022. The year was the second highest year on record after reaching USD 196.5 billion in 2021.
- Moody's expects global Sukuk issuance to decline by 10% in 2023 due to lower volumes from major sovereign issuers as robust oil prices and sustained economic growth strengthen the fiscal balances.
- In terms of performance, further to the worst year in decades in global Sukuk markets in 2022, the Sukuk market has slightly recovered. The Dow Jones Sukuk Index (ex-reinvestment) gained 0.7% YTD, while S&P GCC Sukuk Index was up 0.8% YTD.

↗ PERFORMANCE OF THE UNIT PRICE TRADED ON THE EXCHANGE SINCE THE INCEPTION OF THE FUND *

PERFORMANCE OF THE UNIT PRICE TRADED ON THE EXCHANGE SINCE THE INCEPTION OF THE FUND *



* Prices as at 30 September 2023

📞 FOR FURTHER INFORMATION

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